JSW ENERGY — KUTEHR 240 MW HYDRO PROJECT

GREEN PROJECT INVESTMENT | ONE-PAGE INVESTMENT VIEW

INVESTMENT VIEW — CAUTIOUSLY POSITIVE

My view is that JSW Energy's green-investment strategy is strategically value-creating, but Kutehr should not be presented as a high-return standalone asset. The stronger thesis is contracted renewable cash flows + hydro's firming/grid value + execution capability + access to green finance, while keeping project-level returns disciplined.

WHY KUTEHR FITS THE GREEN-INVESTMENT TEST

Kutehr is a 240 MW run-of-river hydro project in Chamba, Himachal Pradesh. JSW Energy fully commissioned it in August 2025 and has 100% of the capacity tied up with Haryana DISCOMs under a 35-year PPA. The PPA carries a levelized ceiling tariff of ₹4.50/kWh.

FINANCIAL CASE

Metric	Base case
Capacity	240 MW
Design energy / implied CUF	955 MU / 45.42%
Admitted project cost	₹2,767.5 cr
Debt / equity	67% / 33%
Revenue in Year 1	₹429.7 cr
EBITDA in Year 1	₹332.8 cr
Project IRR	6.4%
Equity IRR	6.6%
Minimum DSCR	1.34x
Equity payback	~13 years

THE KEY INSIGHT

The model is intentionally conservative: it uses a 25-year operating horizon even though the PPA is 35 years, 67% debt, 8.36% debt cost as a current JSW Energy proxy, and CERC's 3.5% first-year O&M framework for new hydro above 200 MW. On these assumptions, the 6.6% equity IRR is below the 11% equity hurdle and project NPV is negative at a 9% WACC. DSCR remains above 1.3x, showing that the asset can service debt even though equity returns are modest.

COUNTER-VIEW — AND MY DEFENCE

Bear case: hydro projects face hydrology, environmental/community, regulatory, cost-overrun and leverage risks; the ₹4.50/kWh tariff ceiling also limits upside. Defence: Kutehr is already commissioned, has long-term contracted offtake, and sits inside a much larger renewable platform. JSW Energy had ~13.9 GW operational generation capacity and 32.1 GW locked-in generation capacity by FY26, with a 30 GW generation and 40 GWh storage target for 2030.

GREEN-FINANCE / ESG SIGNAL

JSW Hydro Energy has a Green Bond Framework aligned with ICMA Green Bond Principles. In 2021 it raised a USD 707 million senior secured green bond at a 4.125% coupon to refinance existing green project-related rupee debt. This should be described as evidence of JSW's green-finance capability—not as proof that Kutehr itself was directly funded by that bond.

INVESTMENT CONCLUSION

For a finance-investment decision, I would rate JSW Energy's green strategy as CAUTIOUSLY POSITIVE: value creation is more credible at the portfolio level than at the Kutehr project level. The investment becomes more attractive if JSW can keep new renewable capex below regulated/contracted revenue capacity, maintain DSCR discipline, and scale storage alongside renewables. Key watch items are cost of debt, project capex discipline, hydrology, tariff realization and return on incremental green capital.

Sources: JSW Energy FY2025-26 Integrated Annual Report; JSW Energy Aug-2026 Investor Presentation; JSW Energy Kutehr project page; JSW Energy Kutehr commissioning release (08-Aug-2025); India Ratings Kutehr report; CERC 2024 tariff regulations; JSW Hydro Energy Green Bond Framework / Green Bond Allocation & Impact Report.